Economics

China Barely Eased Austerity Before Shift Into Stimulus Mode

By Bloomberg News
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Takeaways by Bloomberg AI

- China scaled back its fiscal austerity policies only slightly last month, before policymakers delivered a modest package of additional stimulus to ensure the economy hits Beijing's annual growth target.
- A measure of broad budget expenditure fell for a seventh straight month with a drop of 3.7% from a year earlier, and broad revenue slipped 3.5%, according to Bloomberg calculations based on Ministry of Finance data.
- Chinese policymakers delivered a string of fresh measures to support economic growth, including mortgage subsidies for qualified home buyers and an additional 550 billion yuan of bonds local governments are allowed to sell.

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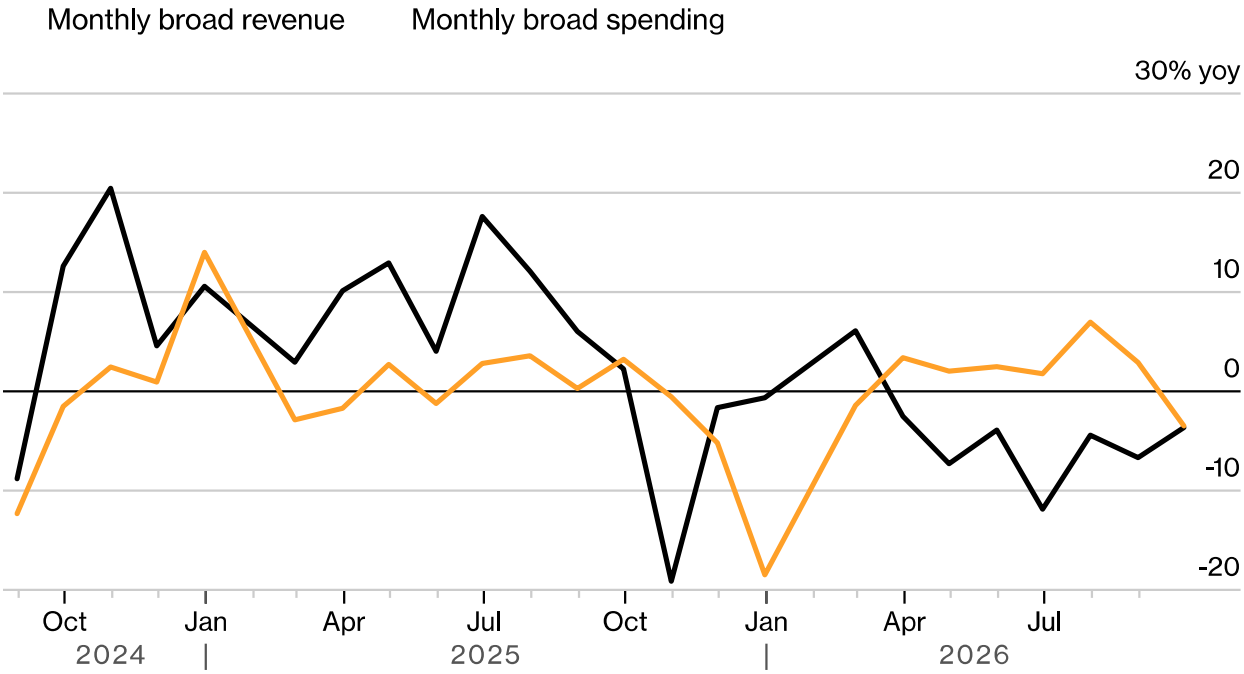
As a result, the fiscal deficit narrowed 3.8% in September. In the first nine months of the year, broad spending exceeded income by 7.57 trillion yuan ($1.1 trillion).

Tight fiscal conditions have been a major drag on China's economy this year, failing to give domestic demand a boost as booming exports continued to

power growth. The cutbacks could ease up in the coming few months as major national projects, including the Six Networks initiative, get underway and Beijing rolls out additional support recently approved to bolster investment.

China Shrinks Budget Spending for Seventh Month

Broad government income dropped in September for first time since February



Note: January and February numbers are combined due to official data availability.
Source: Bloomberg calculations based on data from the Ministry of Finance

"Fiscal operations have remained generally stable," Ma Hongbin, deputy director-general of the ministry's Department of Treasury, said at a press conference on Friday. Fiscal policy has "laid a strong foundation" for meeting the government's growth target by making full use of existing measures and introducing new ones "in a timely manner," he added.

Chinese policymakers delivered a string of fresh measures to support economic growth over the fast few weeks, including mortgage subsidies for qualified home buyers and an additional 550 billion yuan of bonds local governments are allowed to sell. The new stimulus came after officials accelerated the implementation of previously planned policies in recent months, such as 800 billion yuan in funding provided via state-owned policy banks to shore up investment.



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The drop in the government's broad revenue last month – the first since February – could help explain why Chinese policymakers have been reluctant to roll out more aggressive measures to bolster growth. At a briefing in Hong Kong this week following meetings of Asia-Pacific Economic Cooperation officials, Finance Minister Lan Fo'an stressed the need to balance fiscal discipline and long-term sustainability with support for social spending to boost domestic demand and productivity.

Growth in the world's second-largest economy edged up to 4.5% in the third quarter after sliding below Beijing's annual target of 4.5%-5% in the prior three months. The slump in fixed-asset investment persisted into another month while the contraction in infrastructure spending deepened a tad.

Economists broadly expect the pullback in outlays on infrastructure to narrow going forward on the back of stronger government support.

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Government expenditure in infrastructure-related sectors including urban and rural community affairs and transportation fell 2.6% in the July-September period. That extended its slump into the seventh straight quarter, although the decline moderated from a nearly 9% drop in April-June.

Spending in areas such as education and social security and employment, meanwhile, rose 0.8% from a year earlier, the third straight quarter of increase.

Zhao Zeyong, deputy director-general of the ministry's Department of Debt Management, said at the briefing that the plan is to speed up the allocation of next year's special local bond quota, so that regions can start selling the notes in January to meet the funding needs of major projects and expand investment.

Local governments have issued 3.56 trillion yuan of new special bonds this year, or 81% of the amount planned in the 2026 budget, with sales accelerating sharply in September, according to the Ministry of Finance.

However, broad government spending has lagged, with actual outlays in the first nine months making up just 65% of the full-year plan, versus 67% at the same point in 2025.

Among the key factors slowing expenditure were slumping income from land sales, Beijing's focus on reducing hidden debt and a shortage of projects that can generate returns. Another hurdle is tighter scrutiny of officials during a government personnel reshuffle.

Local government revenue from land sales plunged 27.9% in the first nine months, the ministry's data showed. As a result, their land-related expenditure, which is determined by the income, tumbled 18.5% in the period.

Estimates by Goldman Sachs Group Inc. suggest "fiscal policy remained a growth drag despite recent modest easing measures introduced since end-September," according to a report. The latest stimulus is likely more of "an effort to reverse earlier tightening and secure this year's 4.5-5% growth target, rather than the start of a sustained, significant easing cycle," the US bank said.

"With stronger-than-expected third-quarter GDP leaving this year's growth target largely secured, we see a possibility that some proceeds from this